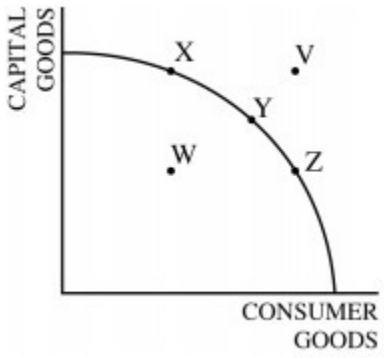
CAEBE
AADBA
AAABB
EBADB
BECDA
DCCCD

1.3 PPC

The following questions are based on the production possibilities curve depicted below.



1. Based on a comparison of points X, Y, and Z, the opportunity cost of an additional consumer good is

(A) highest at point X
(B) highest at point Y
(C) highest at point Z ✓
(D) lowest at point Y
(E) the same at points X, Y, and Z

2. Given the production possibilities curve above, which of the following represents a movement from efficiency to inefficiency?

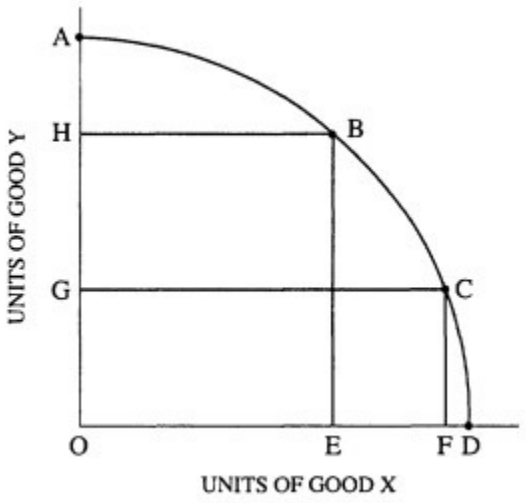
(A) Point X to point W ✓
(B) Point X to point Z
(C) Point Y to point Z
(D) Point W to point Z
(E) Point V to point Y

3. A production possibilities curve can shift inward if there is

(A) an increase in productivity
(B) an increase in unemployment
(C) an increase in the price of raw materials
(D) a misallocation of resources
(E) a natural disaster ✓

1.3 PPC

4.



The graph above shows an economy's production possibilities frontier for the production of two goods, X and Y. Assume that the economy is currently at point B. The opportunity cost of moving from point B to point C is

(A) AH units of good Y

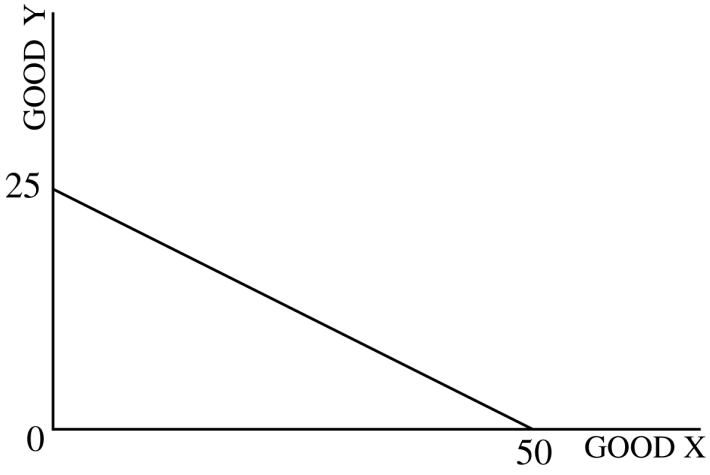
(B) HG units of good Y ✓

(C) OG units of good Y

(D) EF units of good X

(E) OF units good X

5.



According to the production possibilities curve above, which of the following is true?

1.3 PPC

(A) The opportunity cost of producing another unit of good Y in terms of good X increases as more of good Y is produced.

(B) The opportunity cost of producing another unit of good Y in terms of good X decreases as more of good Y is produced.

(C) The opportunity cost of producing another unit of good X in terms of good Y increases as more of good X is produced.

(D) The opportunity cost of producing another unit of good X in terms of good Y decreases as more of good X is produced.

(E) The opportunity cost of producing another unit of either good remains constant as the production of the other good increases. ✓

6. Economic growth can be depicted using a production possibilities curve by which of the following?

(A) A rightward shift of the curve ✓

(B) A movement upward on an existing curve

(C) A movement downward on an existing curve

(D) A movement from a point outside the curve to a point on the curve

(E) A movement from a point on the curve to a point inside the curve

7. Assume that an economy produces televisions and shoes. Which of the following would cause the production possibilities curve for this economy to shift outward?

(A) An increase in the labor force ✓

(B) An increase in the prices of both goods

(C) An increase in the prices of resources used to produce both goods

(D) A decrease in the demand for shoes

(E) A change in consumers' tastes in favor of televisions

8. For an economy with a straight-line production possibilities curve, which of the following must be true?

I. The opportunity cost of producing another unit is constant.

II. Resources are completely adaptable to alternative uses.

III. Resources are used efficiently.

(A) I only

(B) II only

(C) III only

(D) I and II ✓

(E) II and III

1.3 PPC

9. A country produces computers and rice. If resources are fully employed and there is technological progress only in the production of rice, the opportunity costs of producing computers and rice will change in which of the following ways?

(A)

Opportunity Cost of Computers	Opportunity Cost of Rice
Increase	Increase

(B) ✓

Opportunity Cost of Computers	Opportunity Cost of Rice
Increase	Decrease

(C)

Opportunity Cost of Computers	Opportunity Cost of Rice
No change	Decrease

(D)

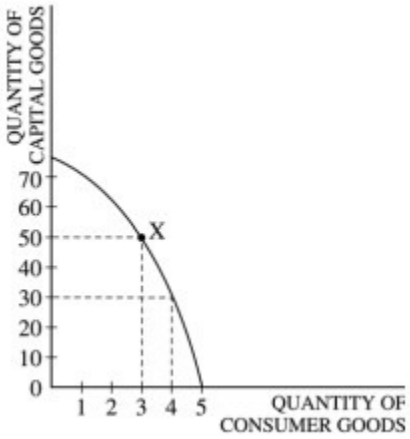
Opportunity Cost of Computers	Opportunity Cost of Rice
Decrease	Increase

(E)

Opportunity Cost of Computers	Opportunity Cost of Rice
Decrease	Decrease

1.3 PPC

10.



According to the graph above, if a country is currently producing at point X, the opportunity cost of producing another consumer good is

(A) 20 capital goods ✓

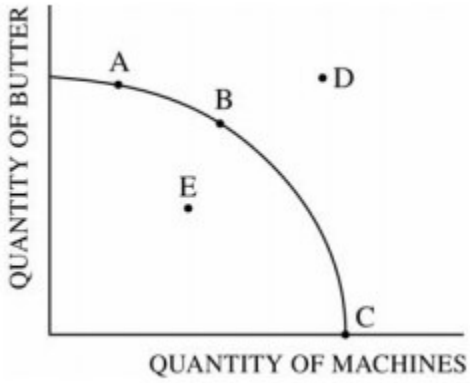
(B) more than 20 capital goods

(C) fewer than 20 capital goods

(D) 20 consumer goods

(E) fewer than 20 consumer goods

11.



The diagram above shows the production possibilities curve for Country Y. Which of the following statements is true?

(A) If Country Y is producing at point C, it is using all its resources efficiently. ✓

(B) The opportunity cost of producing more machines is constant.

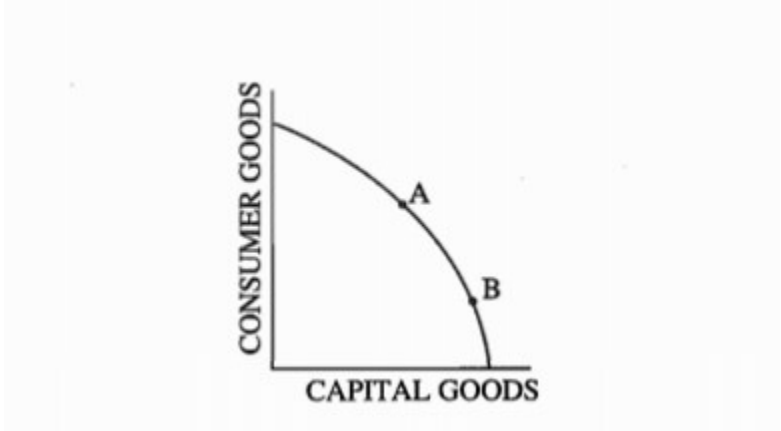
(C) Producing at point C is the most preferable, because butter is a nondurable good.

(D) Country Y cannot produce at point E.

(E) The economy is not producing at its potential, since it is not producing at point D.

1.3 PPC

12.



The diagram above shows an economy's current production possibilities curve for capital goods and consumer goods. If society chooses point B over point A, society is choosing

(A) more future consumption in exchange for less current consumption ✓
(B) more current capital goods in exchange for less future consumption
(C) more future and current consumption
(D) less future consumption in exchange for more current consumption
(E) less current capital goods in exchange for greater future consumption

13. A linear production possibilities curve indicates which of the following?

(A) Constant opportunity costs ✓
(B) Decreasing opportunity costs
(C) Increasing opportunity costs
(D) Diminishing marginal returns
(E) Labor-intensive production

Answer A

Correct. A linear production possibilities curve has a constant slope, meaning that the trade-off between the two variables described by the linear function is constant. Therefore, the opportunity cost is constant.

14. An outward shift in the production possibilities curve of an economy can be caused be an increase in

1.3 PPC

(A) unemployment

(B) the labor force ✓

(C) inflation

(D) output

(E) demand

15. An outward shift of a production possibilities curve can be caused by

(A) planting a more profitable farm crop

(B) improving technology ✓

(C) using idle resources

(D) changing consumer preferences

(E) increasing the minimum wage

16. A production possibilities curve is bowed out, indicating increasing opportunity cost because of

(A) the law of demand

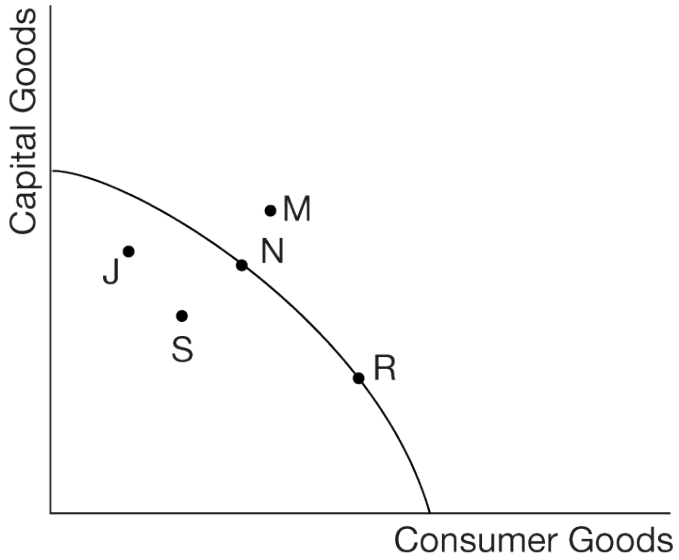
(B) the law of diminishing marginal utility

(C) the existence of unemployment

(D) differences in consumer tastes

(E) imperfect adaptability of resources to alternative uses ✓

17.



Of the feasible and efficient points on the production possibilities curve (PPC) above, producing at which point will lead to the most economic growth in the future?

1.3 PPC

(A) Point M

(B) Point N ✓

(C) Point R

(D) Point J

(E) Point S

Answer B

Correct. Point N is on the PPC, so it is efficient with all resources employed. Compared to point R, the only other point on the frontier, there are more capital goods being produced, which will increase future production.

18. Where on a graph of a production possibilities curve would a point showing that an economy is using its resources efficiently be located?

(A) On the production possibilities curve ✓

(B) Inside the production possibilities curve

(C) Beyond the production possibilities curve

(D) On the y-axis and below the production possibilities curve

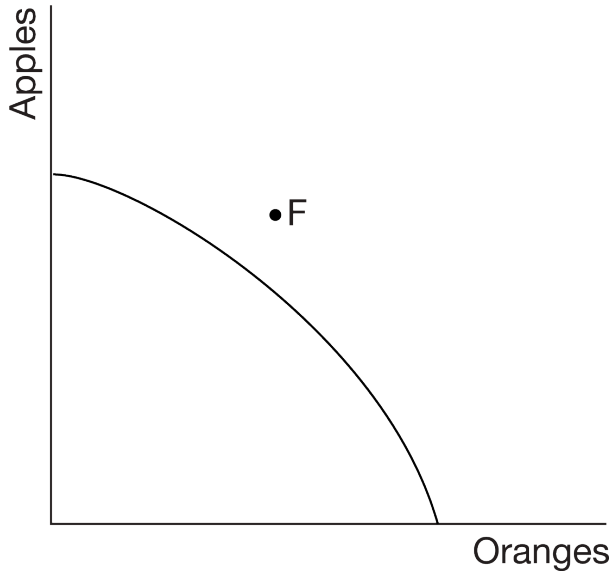
(E) On the x-axis and below the production possibilities curve

Answer A

Correct. A point on the production possibilities curve indicates that all resources are being used and that they are being used efficiently.

1.3 PPC

19.



Which of the following will enable an economy to reach point F on the diagram above?

(A) Reallocating currently available resources from apple production to production of oranges

(B) Reallocating currently available resources from orange production to production of apples

(C) Fully allocating currently available and unemployed resources efficiently

(D) Creating or discovering new resources ✓

(E) Becoming a mixed economy

Answer D

Correct. Reaching point F requires economic growth, which can result from the discovery of new resources, increases in the labor force, increases in capital stock, or technological progress.

20. If resources were perfectly substitutable in all activities, which of the following would be true?

(A) Output of all goods could be increased at zero opportunity cost.

(B) The production possibilities curve would be a straight line. ✓

(C) Specialization and mutually beneficial trade would be impossible.

(D) No country or individual would have a comparative advantage in any activity.

(E) Scarcity of resources would be eliminated.

21. Improvements in technology for producing all goods must result in

1.3 PPC

(A) an inward shift in the production possibilities curve

(B) an outward shift in the production possibilities curve ✓

(C) a flatter production possibilities curve

(D) a steeper production possibilities curve

(E) greater unemployment of labor

22. Which of the following explains why a production possibilities curve is often represented as concave (bowed out) from the origin?

(A) The law of demand

(B) The law of supply

(C) Constant returns to scale

(D) Decreasing opportunity cost

(E) Increasing opportunity cost ✓

23. An economy produces two goods: X and Y. Its production possibilities curve is linear with the intercept on the Y axis at 1,000 units and the intercept on the X axis at 100 units. Which of the following statements is correct?

(A) There is an increasing opportunity cost of producing good X, beginning with 1 unit of X costing 0.1 unit of Y.

(B) There is an increasing opportunity cost of producing good Y but not of producing good X, which has a constant opportunity cost.

(C) There is a constant opportunity cost with each unit of good X costing 10 units of good Y. ✓

(D) There is a constant opportunity cost with 10 units of good X costing 1 unit of good Y.

(E) With a linear production possibilities curve, total production of goods X and Y will be the same at each point on the curve.

Answer C

Correct. Since the production possibilities curve is linear, the opportunity cost of each good, in terms of the other good, is constant. With the frontier going from an intercept of 1000 on the Y axis to 100 on the X axis, each unit of X costs 10 units of good Y and each unit of good Y cost .1 units of good X.

1.3 PPC

Good X (units)	Good Y (units)
0	100
20	95
40	85
60	65
80	35
100	0

The table above shows the maximum possible output combinations of good X and good Y that Microland can produce by using all of its available resources and technology.

24. As the production of good X increases, what happens to the opportunity cost of producing good X?

(A) It decreases, because the production of good Y decreases by greater amounts.

(B) It decreases, because the production of good Y increases by smaller amounts.

(C) It remains constant, because the production of good X increases by the same amount.

(D) It increases, because the production of good Y decreases by greater amounts. ✓

(E) It increases, because the production of good Y increases by smaller amounts.

Answer D

Correct. The opportunity cost increases because as the production of good X increases, the production of good Y decreases by greater amounts. Producing the first 20 units of good X requires giving up 5 units of good Y, producing the next 20 units of good X requires giving up 10 units of good Y, producing the next 20 units of good X requires giving up 20 units of good Y, producing the next 20 units of good X requires giving up 30 units of good Y, and producing the last 20 units of good X requires giving up 35 units of good Y. Thus, the opportunity cost increases as more of X is produced.

25. Movement along a production possibilities curve shows which of the following?

1.3 PPC

(A) The trade-offs society faces ✓

(B) The total amount of available resources

(C) The combination of inputs required for a given output

(D) The relationship between the price of an input and the quantity demanded

(E) The decrease in efficiency

26. As an economy moves along its production possibilities curve, which of the following must be true?

(A) The marginal benefit of the output is greater than the marginal cost of the output.

(B) An increase in output results in a decrease in average total cost.

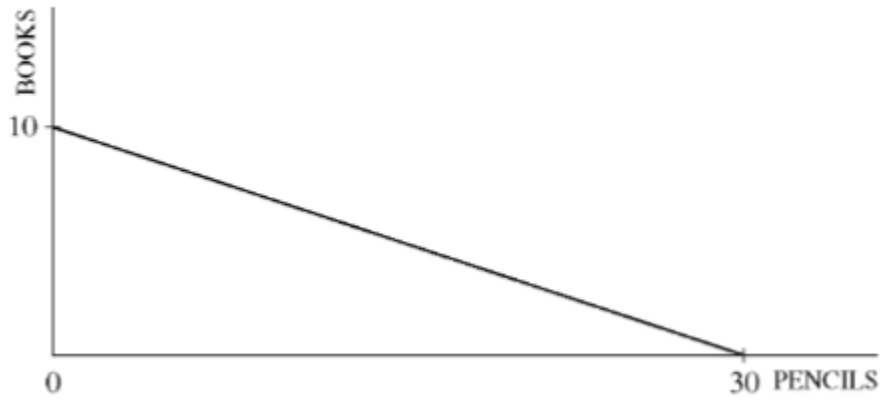
(C) The marginal social cost of producing an additional output is zero.

(D) Producing more of one good results in producing less of the other good. ✓

(E) The economy is producing the socially optimal combination of goods.

Answer D

Correct. A movement along the production possibilities curve demonstrates opportunity cost in production, which is the amount of one good that must be given up to produce more of another good.



27. Based on the production possibilities curve for books and pencils shown, what is the opportunity cost of producing a book?

(A) 30 pencils

(B) 10 pencils

(C) 3 pencils ✓

(D) 1/3 of a pencil

(E) 1/10 of a pencil

1.3 PPC

28.

Combination	Houses	Grain (in bushels)
A	0	1,000,000
B	1	950,000
C	2	850,000
D	3	700,000
E	4	400,000
F	5	0

The table above shows six possible combinations of houses and grain that a country can produce in a year using all currently available resources and technology. The opportunity cost of changing production from combination B to combination C is

(A) 1 house

(B) 2 houses

(C) 100,000 bushels of grain ✓

(D) 850,000 bushels of grain

(E) 950,000 bushels of grain

Answer C

Correct. Opportunity cost is what a country would forego to produce another unit of a good. Producing the second house (going from combination B to combination C) has an opportunity cost of 100,000 bushels of grain. Grain production will fall from 950,000 to 850,000, or by 100,000 bushels of grain.

1.3 PPC

29. Two alternative production possibility frontiers for apples and wheat are shown in the figures below.

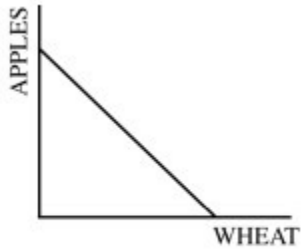


Figure 1

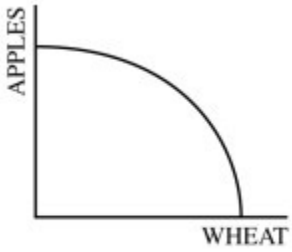


Figure 2

As more wheat is produced, how will the opportunity cost of producing wheat, as represented in Figures 1 and 2, be affected?

1.3 PPC

(A)

Figure 1	Figure 2
Decrease	Increase

(B)

Figure 1	Figure 2
Increase	Decrease

(C) ✓

Figure 1	Figure 2
No change	Increase

(D)

Figure 1	Figure 2
No change	Decrease

(E)

Figure 1	Figure 2
Increase	No change

30. The table below represents points on an economy's current production possibilities curve.

Good X	Good Y
1,000	0
990	100
980	200
970	300

The opportunity cost of increasing the production of good Y from 0 to 200 is

1.3 PPC

(A) 1,000 units of X

(B) 980 units of X

(C) 200 units of X

(D) 20 units of X ✓

(E) 5 units of X

31.

Doughnuts	140	120	90	50	0
Sweet Rolls	0	10	20	30	40

The above data describes a bakery's daily production possibilities curve for doughnuts and sweet rolls. Which of the following is true about the PPC ?

(A) The PPC illustrates decreasing opportunity cost.

(B) The PPC illustrates increasing opportunity cost. ✓

(C) The PPC illustrates constant opportunity cost.

(D) Producing 100 doughnuts and 10 sweet rolls illustrates efficiency in production.

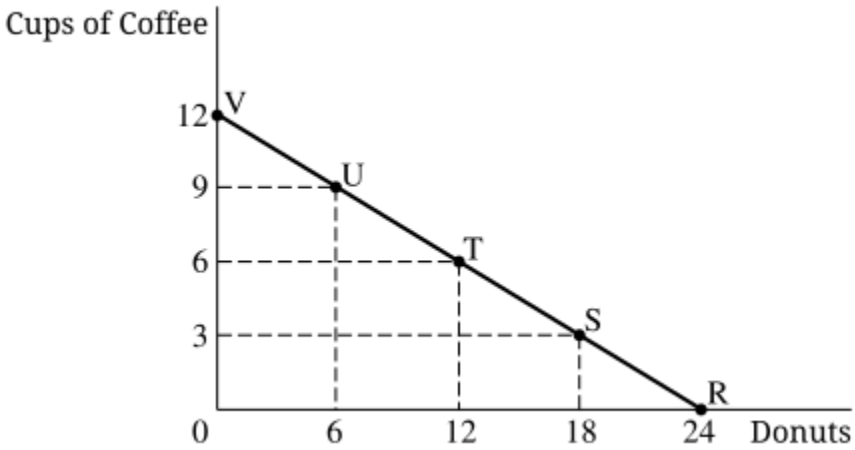
(E) Producing 0 doughnuts and 40 sweet rolls illustrates inefficiency in production.

Answer B

Correct. Producing the first 10 sweet rolls requires giving up 20 doughnuts. Producing the next 10 sweet rolls requires giving up 30 doughnuts, and so on. Ever-increasing amounts of doughnuts have to be given up to increase the production of sweet rolls. Thus, the opportunity cost is increasing.

1.3 PPC

The following questions are based on the graph provided, which shows the combinations of donuts and cups of coffee that the country of Deetopia could produce using its currently available resources.



32. Which of the following must be true?

(A) Combination T is allocatively efficient because customers will consume both donuts and cups of coffee.

(B) Combination V is allocatively efficient because Deetopia has an absolute advantage in producing cups of coffee.

(C) The opportunity cost of producing 1 cup of coffee is 2 donuts. ✓

(D) The opportunity cost of producing 1 cup of coffee is 6 donuts.

(E) The opportunity cost of producing 1 donut increases as more cups of coffee are produced.

Answer C

Correct. The absolute value of the slope of the production possibilities curve ($\frac{1}{2}$ in this case) demonstrates the opportunity cost of producing 1 more donut (that is, $\frac{1}{2}$ cup of coffee); thus, the opportunity cost of producing one more cup of coffee is the reciprocal of the absolute value of the slope of the production possibilities curve, which is 2 donuts.

33. Suppose the country of Deetopia produces 6 cups of coffee and 12 donuts. Which of the following must be true?

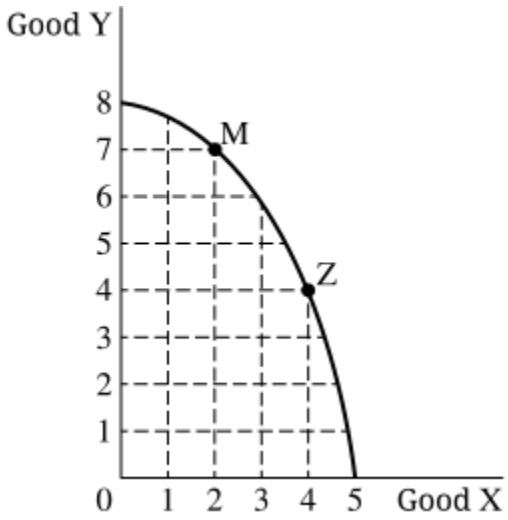
1.3 PPC

(A) The combination leaves some resources unemployed.
(B) The combination has the highest opportunity cost in production.
(C) The combination is productively efficient. ✓
(D) The combination is neither productively nor socially efficient.
(E) The combination cannot be produced with the given amount of resources.

Answer C

Correct. Productive efficiency is achieved when goods and services are produced at the lowest cost. Any point on the production possibilities curve is productively efficient, because it is impossible to produce more of one good without producing less of the other. Therefore, producing 6 cups of coffee and 12 donuts is productively efficient because it is a point on the production possibilities curve.

34.



The graph provided shows the production possibilities curve for a country's economy. The economy is currently producing at point Z. What is the opportunity cost of changing production to point M?

(A) 3 units of Good Y
(B) 8 units of Good Y
(C) 3 units of Good X
(D) 4 units of Good X
(E) 2 units of Good X ✓

1.3 PPC

Answer E

Correct. The opportunity cost of producing more of Good Y is determined by the number of units of the other good (Good X) that must be given up. In moving from point Z to point M, 2 units of Good X must be given up to gain 3 more units of Good Y.

35. Which of the following is true of an economy's production possibilities curve?

(A) It shows the combinations of any two resources that can be used to produce an efficient level of output.

(B) It shows the alternative combinations of goods that can be produced by fully employing scarce resources. ✓

(C) It must be a straight line when all resources are fully employed.

(D) It is bowed in (convex to the origin) because of changing levels of technology.

(E) It is bowed out (concave to the origin) when marginal opportunity costs are constant.

36. Scarcity leads to which of the following?

(A) Unemployed resources

(B) Absolute advantage

(C) Opportunity cost ✓

(D) Efficiency

(E) Monopolies

Answer C

Correct. Scarcity results from limited resources and unlimited wants and needs. Thus, scarcity results in opportunity costs (trade-offs) in production and consumption.

37. Because of conflict and political instability in Country Y, millions of its citizens emigrate to Country X. Which of the following best explains what will happen to Country X?

(A) Country X's PPC will not change, but its consumption of goods will decrease.

(B) Country X's production will move to a point inside its PPC, indicating slower growth.

(C) Country X's production will move to a point on its PPC at which it produces only consumer goods.

(D) Country X's PPC will shift outward over time. ✓

(E) Country X's PPC will shift inward over time.

1.3 PPC

Answer D

Correct. Economic growth through more resources will cause an outward shift in the PPC . Emigration will increase Country X's labor force. The growth in the labor force is one factor that causes economic growth.

38. Assume an economy uses one input, labor, to produce two goods, X and Y, with constant opportunity cost. Which of the following would cause a parallel shift to the right of the production possibilities curve (PPC) ?

(A) An increase in the productivity of labor with respect to producing good X

(B) An increase in the amount of labor available for production ✓

(C) A reduction in the unemployment of labor

(D) An increase in the demand for good X and good Y

(E) A change in consumer tastes from good Y to good X

Answer B

Correct. With a greater amount of the input, labor, the production possibilities curve can shift out in a parallel way, showing economic growth.